CAR & GENERAL (KENYA) PLC

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 2018

	Note	2018 Sh '000	2017 Sh '000
REVENUE	4 (b)	10,079,734	9,635,150
COST OF SALES		(8,513,513)	(8,184,936)
GROSS PROFIT		1,566,221	1,450,214
OTHER INCOME	5(ii)	89,531	257,508
GAIN IN FAIR VALUE OF INVESTMENT PROPERTIES	13	339,513	229,496
SELLING AND DISTRIBUTION COSTS		(576,570)	(622,406)
ADMINISTRATIVE EXPENSES		(748,344)	(739,836)
FINANCE COSTS	6	(353,182)	(407,625)
NET FOREIGN EXCHANGE GAINS/(LOSSES)		4,361	(61,878)
SHARE OF PROFIT/(LOSS) IN AN ASSOCIATE	19	28,504	(1,221)
SHARE OF PROFIT/(LOSS) IN JOINT VENTURE	20	7,777	(5,947)
PROFIT BEFORE TAXATION	7	357,811	98,305
TAXATION CHARGE	9	(132,095)	(18,464)
PROFIT FOR THE YEAR		225,716	79,841
OTHER COMPREHENSIVE INCOME			
Items that will not be reclassified subsequently to profit or loss:			
Revaluation surplus on property, net of deferred tax		70,902	52,326
Items that may be reclassified subsequently to profit or loss:			
Exchange difference arising on translation of foreign operations net of tax		(26,397)	(12,899)
		44,505	39,427
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		270,221	119,268
PROFIT ATTRIBUTABLE TO:			
Owners of the parent		214,530	68,480
Non - controlling interests	10	11,186	11,361
Profit for year		225,716	79,841
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:			
Owners of the parent		259,035	107,907
Non - controlling interests	10	11,186	11,361
Total comprehensive income for the year		270,221	119,268
		Sh	Sh
EARNINGS PER SHARE - basic and diluted	11	5.35	1.71

CAR & GENERAL (KENYA) PLC
CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AS AT 30 SEPTEMBER 2018

	Note	2018 Sh '000	2017 Sh '000
ASSETS			
Non-current assets			
Investment properties	13	3,115,525	2,778,042
Property, plant and equipment	14	1,507,052	1,408,213
Intangible assets	16	22,674	16,331
Education reference materials	17	4,633	-
Investment in associate	19	55,938	26,815
Investment in joint venture	20	310,824	222,442
Deferred tax asset	25(b)	127,615	135,951
		5,144,261	4,587,794
Current assets			
Inventories	21	3,070,281	2,898,840
Trade and other receivables	22	1,696,754	1,453,001
Due from related parties	23(b)	40,220	15,059
Corporate tax recoverable	9(c)	46,034	51,075
Cash and bank balances		175,957	261,775
		5,029,246	4,679,750
Total assets		10,173,507	9,267,544
EQUITY AND LIABILITIES			
Capital and Reserves			
Share capital	24	200,516	200,516
Revaluation surplus		709,379	647,412
Retained earnings		2,548,536	2,349,133
Exchange translation reserve		(62,199)	(35,802)
Equity attributable to owners of the parent		3,396,232	3,161,259
Non-controlling interests	10	207,734	196,548
Total equity		3,603,966	3,357,807
Non-current liabilities			
Deferred tax liabilities	25(b)	904,759	779,478
Due to related parties	23(c) (ii)	159,205	159,205
Borrowings – non-current	26	427,015	426,993
		1,490,979	1,365,676
Current liabilities			
Borrowings - current	26	3,003,756	3,118,919
Trade and other payables	27	1,821,191	1,385,396
Due to related parties	23(c) (i)	247,713	39,604
Corporate tax payable	9(c)	5,902	142
		5,078,562	4,544,061
Total equity and liabilities		10,173,507	9,267,544

The financial statements on pages 19 to 71 were approved and authorised for issue by the board of directors on 19 December 2018 and were signed on its behalf by:

N. Ng'ang'a
Director

V. V. Gidoomal
Director

CAR & GENERAL (KENYA) PLC

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 SEPTEMBER 2018

Year ended 30 September 2017	Share capital Sh '000	Revaluation surplus Sh '000	Retained earnings Sh '000	Exchange translation Sh '000	Attributable to owners of the parent Sh '000	Non - controlling interest Sh '000	Total Sh '000
At 1 October 2016	200,516	604,493	2,271,246	(22,903)	3,053,352	185,187	3,238,539
Profit for the year	-	-	68,480	-	68,480	11,361	79,841
Revaluation surplus on property net of deferred tax	-	52,326	-	-	52,326	-	52,326
Exchange difference arising on translation of foreign operations	-	-	-	(12,899)	(12,899)	-	(12,899)
Total comprehensive income for the year	-	52,326	68,480	(12,899)	107,907	11,361	119,268
Transfer of excess depreciation	-	(12,449)	12,449	-	-	-	-
Deferred tax on excess depreciation transfer	-	3,042	(3,042)	-	-	-	-
At 30 September 2017	200,516	647,412	2,349,133	(35,802)	3,161,259	196,548	3,357,807
Year ended 30 September 2018							
At 1 October 2017	200,516	647,412	2,349,133	(35,802)	3,161,259	196,548	3,357,807
Profit for the year	-	-	214,530	-	214,530	11,186	225,716
Revaluation surplus on property net of deferred tax	-	70,902	-	-	70,902	-	70,902
Exchange difference arising on translation of foreign operations	-	-	-	(26,397)	(26,397)	-	(26,397)
Total comprehensive income for the year	-	70,902	214,530	(26,397)	259,035	11,186	270,221
Transfer of excess depreciation	-	(11,701)	11,701	-	-		-
Deferred tax on excess depreciation transfer	-	2,766	(2,766)	-	-	-	-
Dividend paid - 2017	-	-	(24,062)	-	(24,062)		(24,062)
At 30 September 2018	200,516	709,379	2,548,536	(62,199)	3,396,232	207,734	3,603,966

CAR & GENERAL (KENYA) PLC

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 SEPTEMBER 2018

	Note	2018 Sh '000	2017 Sh '000
Cash flows from operating activities			
Net cash generated from operations	28(a)	555,145	626,018
Corporation tax paid	9(c)	(16,513)	(40,613)
Net cash generated from operating activities		538,632	585,405
Cash flows from investing activities			
Additions to investment properties	13	(1,873)	-
Purchase of property, plant and equipment	14	(92,564)	(57,795)
Purchase of intangible assets	16	(10,331)	(13,731)
Purchase of education reference materials	17	(4,633)	
Investment in an associate		(619)	(25,594)
Investment in joint venture		(80,605)	(216,495)
Proceeds on disposal of net assets to joint venture		-	187,144
Proceeds on disposal of property, plant and equipment		1,441	10,009
Net cash used in investing activities		(189,184)	(116,462)
Cash flows from financing activities			
Loans received	28(b)	6,482,838	5,107,571
Loans repaid	28(b)	(6,658,020)	(4,997,684)
Dividend paid		(24,062)	-
Interest paid	6	(353,182)	(407,625)
Hire - purchase finance		8,770	
Net cash used in financing activities		(543,656)	(297,738)
Net (decrease)/increase in cash and cash equivalents		(194,208)	171,205
Cash and cash equivalents at the beginning of the year		258,353	88,919
Effects of exchange rate changes on the balance of cash held in foreign operations		(2,328)	(1,771)
Cash and cash equivalents at the end of the year	28(c)	61,817	258,353

Car & General (Kenya) PLC – Final results 30 September 2018

Turnover for the twelve months to 30 September 2018 was KSh 10.079 billion. This represents an increase of 4.6% over the previous financial year which included Cummins sales before the formation of the Cummins joint venture. Excluding Cummins sales, like for like sales were 18% above the same period in the previous year. Earnings before interest and tax were 40% higher than the previous year at Kshs 711 million as compared to Kshs 506 million. The group made a profit before tax of Kshs 358 million against a profit of Kshs 98 million over the same period last year. This includes the impact of investment property valuations.

In Kenya, volumes in our consumer business (two wheelers and three wheelers) made good progress. However, due to the restriction on bank financing resulting from the interest rate cap, volumes in our equipment businesses (generators, construction equipment, tractors and forklifts) remained constrained.

In Tanzania, which accounts for 25% of Group turnover, despite challenging economic conditions, we maintained strong market share in our three wheeler business. We have made good progress in growing our two wheeler business and continue to invest in this. We see this as an excellent opportunity going forward. Our equipment businesses including Cummins have declined given a corresponding decline in market size. Margins remain low. Our focus is volume growth in the consumer segment.

In Uganda and Rwanda, which account for 5% of Group turnover, our business is mainly equipment related. Uganda and Rwanda have performed reasonably at EBIT level before forex adjustments and extraordinary items which resulted in a loss for the year.

The Poultry operations in Tanzania made a small profit.

On Investment Property business we will embark on at least one property redevelopment in the next three months. We hope to commence another property development by the end of 2019 assuming we can secure an anchor tenant. We expect these developments will improve our Investment Property yields and values.

Our investment in Watu Credit is progressing satisfactorily having generated reasonable returns. Our Cummins Joint Venture has returned a profit and we expect improved results going forward.

The Company now has a comprehensive product line up with good balance, a solid infrastructure and an expanding distribution network. No further investments are required in infrastructure. Our diverse portfolio gives our business more optionality and ultimately more sustainability.

The current financial year looks positive in spite of current challenges relating to logistics largely port clearance processes (in both Kenya and Tanzania) and increased shipping lead times. Our focus will be on similar growth and operational efficiency. Critical will be the commencement of our property redevelopments.

BASIS OF PREPARATION

The accounting policies and methods of computations followed in the preparation of these financial statements are the same as those used in preparation of the annual financial statements for the year ended 30 September 2018.

FINAL DIVIDEND

The Directors recommend a dividend of ksh 32,082,646 (ksh 0.80 per share) in respect of the year, payable to those registered at the close of business on 18 February 2019. Subject to approval by shareholders, dividend will be paid on 25 March 2019.

CLOSURE OF REGISTER

Notice is hereby given that the Register of Members will be closed on 19 February 2019 for purpose of the preparation of a dividend list.

ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of the Company will be held on 25 March 2019 at 11.00am at the Southern Sun, Mayfair Hotel. Parklands Road, Nairobi.

The summary consolidated financial statements are extracts from the audited financial statements of the Group for the year ended 30 September 2018, which were audited by Deloitte & Touche and received an unmodified opinion.

BY ORDER OF THE BOARD

N P KOTHARI
COMPANY SECRETARY
19 DECEMBER 2018